



SCC Data Center Initiatives

ENSURING DATA CENTERS PAY THEIR OWN COSTS

Dominion Energy Virginia

- **GS-5 Rate Class** – Data centers will pay separate rates based on their unique costs, to avoid cost shifting.
- **Cost Allocation** – Dominion must submit alternative cost allocation proposals to SCC to ensure data centers pay for the costs they cause.
- **Contract Obligation** – Data centers must take, and pay for, electric service for at least 14 years.
- **Minimum Charges** – Data centers must pay at least 85% of their transmission and distribution costs, regardless of their electricity usage.
- **Collateral Obligation** – Data centers must guarantee up to 60% of their minimum contract charges.
- **Reliability** – Dominion’s process for connecting data centers to the grid must be submitted to the SCC for review and approval.
- **Proactive** – Virginia is one of the first states to adopt comprehensive safeguards.

Technical Conferences

2024

- Examined how the SCC can ensure data centers pay their own costs.
- Included 16 expert panelists from around the industry.

2025

- Examined how the SCC can utilize data centers for reliability and affordability.
- Included 10 expert panelists from around the industry.

Other Electric Utilities

- The SCC is reviewing proposed safeguards for Appalachian Power Company and electric cooperatives.
- Safeguards include new terms and conditions to prevent cost-shifting.
- New rate class for large-load customers.

SCC Provisions for Dominion's Large Load Customers



HOW HAS THE SCC ADDRESSED COST CONCERNS RELATED TO DATA CENTERS?

The SCC made several determinations in Dominion's most recent general rate proceeding, Case No. PUR-2025-00058, that, collectively, are designed to ensure that large load customers, such as hyperscale data centers, appropriately pay for the costs incurred to serve them.



WHAT IS THE NEW GS-5 RATE CLASS AND HOW WILL IT BE USED?

Large load customers, such as hyperscale data centers, were placed into a new separate rate class, the "GS-5 rate class." This means that the SCC will now set rates separately for these large customers to recover the unique costs of providing them with electric service, minimizing cost shifting to other customer classes. The GS-5 rate class will include all new or existing customers that meet or exceed certain capacity and energy usage thresholds.



WILL THE SCC FURTHER REVIEW HOW COSTS ARE RECOVERED FROM LARGE LOAD CUSTOMERS?

Yes. Costs that cannot be directly traced to specific customers are allocated to customers in SCC proceedings, using approved cost allocation methods. The SCC ordered Dominion to submit alternative cost allocation proposals in future proceedings to better reflect the growth of large load customers. Alternative cost allocation proposals will be submitted for both generation and transmission services. This will help to ensure that costs are appropriately allocated to those customers who cause the costs to be incurred, including hyperscale data centers.



DID THE SCC MAKE OTHER DETERMINATIONS ADDRESSING COST RISKS?

Yes. The SCC approved several special tariff provisions that will apply to large load customers. Collectively, these provisions are designed to further minimize the risk that infrastructure costs incurred primarily to serve large load customers could be recovered from other customers. These provisions include minimum contract obligations, minimum charges, and collateral requirements.



WHAT IS THE MINIMUM CONTRACT OBLIGATION?

Large load customers such as hyperscale data centers will be obligated to take, and pay, for electric service for at least 14 years. This obligation will apply to new large load customers who contract for service on or after January 1, 2027.



WHAT MINIMUM CHARGES WILL APPLY TO LARGE LOAD CUSTOMERS?

Large load customers, including hyperscale data centers, will be obligated to pay at least 85% of the transmission and distribution costs incurred to serve them each month, regardless of how much electricity the customer actually uses. This obligation will apply to new and existing large load customers. However, any customer who began service before January 1, 2016, will be exempt.



WHAT COLLATERAL WILL BE REQUIRED FROM LARGE LOAD CUSTOMERS?

Large load customers without sufficient credit may be obligated to guarantee funds intended to cover up to 60% of the customer's minimum charges over their contract term. This obligation will apply to new large load customers who contract for service on or after January 1, 2027.



DID THE SCC MAKE DETERMINATIONS ADDRESSING TRANSMISSION PLANNING?

Yes. The SCC ordered Dominion to submit its process for interconnecting large load customers, such as hyperscale data centers, for the SCC's review and approval in a future proceeding. Dominion is required to make this submission on or before February 2, 2026.